



Where Stability Meets Opportunity

Fund Performance Report for the year ended 31 December 2025

Prepared By :

Las Capital
General Partner

GP Message

Dear valued investment-linked policyholders,

It is my pleasure to present to you the 2025 report for LAS Capital Equity Fund. The year marked a significant milestone in the Fund's evolution, as we transitioned from an opportunistic growth phase into a more balanced, income-generating, and diversified portfolio structure. Our focus throughout the year remained firmly on delivering sustainable, risk-adjusted returns while strengthening the long-term resilience of the Fund.

Throughout 2025, global and regional markets continued to face uncertainty, shaped by persistent inflationary pressures, evolving monetary policies, geopolitical developments, and currency volatility. Domestically, businesses navigated a cautious recovery environment amid policy recalibrations and cost pressures. Against this backdrop, LAS Capital adopted a disciplined and selective investment approach, prioritizing cash-flow visibility, downside protection, and strategic diversification.

A key highlight of the year was the successful acquisition of an e-commerce business, which now represents approximately 40% of the Fund's portfolio. This investment delivers a fixed annual return of 15%, providing the Fund with predictable income and enhancing earnings stability. The transaction reflects our growing emphasis on acquiring operating businesses with proven business models and recurring revenue streams.

In parallel, our fixed-income investment portfolio continued to outperform expectations. As at 2025, this segment is generating an average annual return of 21.59%, exceeding both our internal investment objective and benchmark of 20%. This achievement underscores the strength of our structured investment approach, robust credit assessment, and disciplined execution in sourcing high-yield opportunities with controlled risk exposure.

Importantly, 2025 marked a deliberate diversification of the Fund across multiple sectors and asset classes. By reducing reliance on equity market performance and expanding into operating businesses and structured investments, the Fund is now positioned to generate stable, sustainable returns in excess of 20% per annum. This strategic shift enhances the Fund's resilience across market cycles and aligns with our long-term value creation mandate.

Operational discipline remained a core focus throughout the year. We further strengthened our due diligence standards, enhanced post-investment monitoring, and refined our risk management frameworks. These efforts have improved portfolio oversight and ensured that capital is deployed efficiently in line with our investment philosophy.

Looking ahead, we remain optimistic about the Fund's trajectory. Our pipeline continues to include selective opportunities across high-growth and defensive sectors, with a continued emphasis on income-generating assets and capital preservation. We are confident that our strategy will allow us to navigate market uncertainties while delivering consistent value to our partners.

In closing, I would like to express my sincere appreciation to our investors, partners, and the LAS Capital team for your continued trust and support. Your confidence has been instrumental in our progress, and we look forward to building on this momentum together in the years ahead.

Thank you for your continued partnership with LAS Capital.

Market Overview



2025 Market Review and Outlook

In 2025, global financial markets delivered broad-based positive returns across major asset classes, driven by a combination of easing monetary policy expectations, robust risk appetite, and broadening participation beyond traditional equity benchmarks. After a period of heightened volatility earlier in the year, markets shifted toward a risk-on environment, which resulted in what many strategists described as an “everything rally.” This marked the first year since the COVID-19 pandemic in which nearly all major asset classes posted positive returns.

Global bonds generated positive returns, aided by declining interest rate expectations and a weaker US dollar. Emerging market debt was a standout within fixed income as strong fundamentals and favorable currency movements supported double-digit returns. Investment grade credit delivered respectable gains as spread tightening complemented yield carry. Amid this backdrop, central banks shifted from tightening toward more accommodative or neutral stances, further underpinning bond markets.

US Treasury Yield

Tenor	31-Dec-2025 (%)	YoY Changes (%)
1 year	3.48	-16.35
2 year	3.47	-18.35
5 year	3.73	-14.84
10 year	4.18	-8.73
30 year	4.84	1.26

Source: U.S. Department of the Treasury

Global equities also rebounded strongly in 2025, with developed markets ending the year with solid gains despite a challenging first half marked by trade tensions and macroeconomic uncertainty. Emerging market equities outperformed, returning over 30% in US dollar terms, led by broad-based strength across Asia and Latin America. Chinese equities, particularly in technology and export-driven sectors, contributed significantly to this outperformance. Growth in the U.S. remained positive, but the S&P 500 trailed many international indices — a rare occurrence in recent years.

Precious metals, especially silver and gold, showed exceptional performance, significantly outperforming traditional commodities. Gold’s appeal as a portfolio diversifier and inflation hedge was supported by strong demand from both investors and central banks. Although energy prices softened, overall commodity indices finished the year with positive returns.

Global growth remained moderate but resilient, avoiding a broad recession despite elevated geopolitical tensions and trade uncertainties. Central banks moved away from aggressive tightening as inflation showed signs of moderation, underpinning asset markets and enabling improved liquidity. Currency dynamics — particularly a weakening U.S. dollar — further supported unhedged international equity and bond returns.

While markets performed well overall, risks persisted. Elevated valuations in technology and AI sectors raised concerns about overheating, and global geopolitical tensions — including trade disputes and structural inflation pressures — could introduce volatility ahead. Strategists caution that future gains may be more selective, favoring quality and income-oriented sectors over broad market extrapolation.

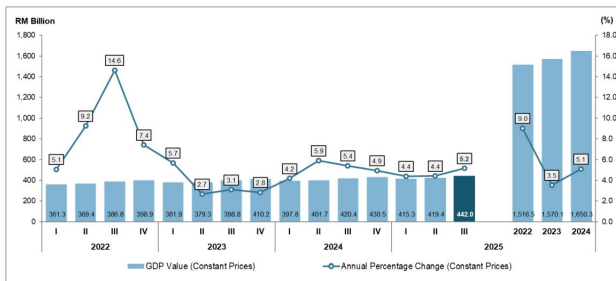
Market Overview

Malaysia Market Overview and Outlook

In 2025, Malaysia's economy and financial markets demonstrated resilience amid global headwinds, underpinned by solid domestic fundamentals, stable inflation, and strategic policy responses. While external trade uncertainties and cautious investor sentiment persisted, key economic indicators and market developments provided supportive context for investment allocation and portfolio strategy.

Malaysia's GDP growth remained firm through 2025, supported predominantly by robust domestic consumption and expanding industrial activity. Official data show the economy expanded strongly in Q3, posting a 5.2% year-on-year growth, up from 4.4% in Q2, with manufacturing, mining and household demand contributing to this acceleration. Domestic demand rose by 5.8% in Q3, highlighting the underlying strength of local economic drivers.

Malaysia Gross Domestic Product (GDP), Q1 2022 – Q3 2025 and 2022 – 2024



Source: Department of Statistics Malaysia

The labor market remained healthy, with employment growth of 3.1% year-on-year and the unemployment rate staying low at around 3%, indicating continued absorption of labour into the workforce and supporting consumption momentum.

Inflation was contained and moderate throughout the year. Official statistics reported inflation around 1.3% (Q3 2025) — one of the lowest levels in recent history — which helped sustain household purchasing power and eased cost pressures across sectors.

Across broader macro releases, Malaysia's economy was projected to grow between 4.0% and 4.8% in 2025, with headline inflation expected in a moderate range of 1.4%–2.3%, reflecting stable price conditions amidst global uncertainty.

Malaysia's external sector demonstrated resilience despite global trade frictions. Total trade up to September 2025 reached an all-time high of RM2.23 trillion, with exports supported by re-exports and domestic manufactured goods, reflecting underlying competitiveness in key export segments.

Policy & Monetary Conditions



Bank Negara Malaysia (BNM) maintained an accommodative monetary stance in 2025 to support growth and counter external pressures. The Overnight Policy Rate (OPR) was reduced to 2.75% in July, marking the first rate cut in several years in response to global trade headwinds. The policy stance aimed to underpin domestic demand while keeping inflation in check.

The Statutory Reserve Requirement (SRR) was lowered to 1% in mid-2025, releasing additional liquidity into the banking system and supporting credit intermediation.

These coordinated macro policy measures contributed to stable financing conditions and bolstered investor confidence, particularly in credit and fixed-income markets.

Equity Market Performance (FBM KLCI & Sentiment)

The Malaysian equity benchmark FBM KLCI ended 2025 on firmer footing, closing near 1,680 points and delivering a positive year-end return, supported by institutional buying and renewed domestic participation.

Foreign investor participation was mixed throughout the year. Early 2025 saw renewed foreign inflows that helped support bargain hunting and market rallies, yet sentiment oscillated with global macro developments and tariff-related uncertainties.

Domestic equity performance remained concentrated in large-cap, domestically oriented sectors — including banks, construction, consumer staples, and renewable energy — reflecting strategic rotation towards earnings stability and defensive characteristics.

Fixed Income & Bond Markets

Malaysia's ringgit-denominated bond and sukuk market expanded to over RM2.16 trillion by April 2025, reflecting sustained demand and issuance across government, quasi-government, and corporate segments.

Market Overview

Local yields generally softened in anticipation of policy easing, with the 10-year Malaysian Government Securities (MGS) hovering in the mid-3% range — attractive relative to many developed market peers. However, demand for sovereign auctions weakened later in the year as investors sought higher-yielding private securities and markets repriced rate expectations.

Towards late 2025, foreign inflows into Asian bonds rose sharply, with Malaysian bonds among the beneficiaries, reflecting global portfolio reallocation into higher-yielding, stable emerging market debt.

Corporate issuance remained active and contributed to market depth, though heavier private supply posed headwinds for sovereign bonds later in the year.

Overall, the fixed income landscape in Malaysia in 2025 offered both yield advantage and diversification benefits, contributing to stable income returns amidst macro uncertainty.

Structural & Investment Climate Developments

Malaysia continued to attract investment capital, with record approved investments of RM378.5 billion in 2024, signaling strong business confidence and long-term capital commitments — a trend likely to support economic momentum into 2025 and beyond.

The ringgit strengthened in 2025, supported by relative monetary policy differentials and expectations of easing U.S. rates, enhancing portfolio returns for unhedged offshore exposures and underpinning confidence in Malaysian assets.

Malaysia's financial market continues to innovate with ESG-aligned investment products and market infrastructure improvements that broaden investor access and support sustainable investment trends.

Market Outlook

Looking ahead, Malaysia's market outlook remains constructive but selective, underpinned by steady economic fundamentals and improving policy clarity, while remaining sensitive to external developments.

Malaysia's economy is expected to sustain moderate growth, supported by continued domestic consumption, government-led development initiatives, and private sector investment. Structural reforms, infrastructure spending, and strategic sectors such as healthcare, consumer goods, digital services, and renewable energy are expected to provide longer-term growth drivers.

BNM is expected to maintain a balanced and pragmatic monetary stance, prioritising growth stability while managing inflation risks. Stable interest rate conditions are likely to continue supporting credit markets and income-focused investment strategies. Any future policy

adjustments are expected to be gradual and data-dependent.

The Malaysian equity market is expected to remain range-bound in the near term, with performance driven more by earnings quality, cash flow strength, and dividend sustainability rather than broad market rerating. Opportunities are likely to emerge in fundamentally strong, domestically oriented companies with resilient balance sheets and predictable earnings profiles.

The outlook for fixed income and structured investments remains favourable. Stable yields, combined with moderate inflation, continue to support real returns. Credit-focused strategies and private fixed-income investments are expected to remain attractive, particularly those offering capital protection and predictable cash flows.

Key risks include global monetary policy shifts, geopolitical developments, commodity price volatility, and fluctuations in foreign capital flows. However, Malaysia's diversified economic base and prudent policy framework provide a degree of insulation against external shocks.

Given this environment, a diversified strategy emphasising income generation, downside protection, and reduced reliance on public equity market volatility remains appropriate. The outlook reinforces the rationale for allocating capital toward fixed-income, operating businesses, and defensive sectors capable of delivering stable and sustainable returns.



Fund Performance Overview

Investment Objectives and Strategy

The Fund will seek to achieve the investment objective of providing Unit Holders with capital appreciation by investing in equities and equity-related securities listed on Bursa Malaysia (or other recognized stock exchange) or any unlisted companies or funds which have clear proposition to add value based on the following investment approaches:

- (a) Value investing approach based on brand leaders with growth prospect in its respective sectors/industries; and
- (b) Growth investing approach which is based on prospective growth factors of the business that can generate year over year double digit growth on the net profit of the businesses.

There has been no changes in the investment objective, restrictions and limitations during the financial year

2025 Major Achievement

2025 was a strong year of execution and performance delivery for the Fund. While no new investments or acquisitions were undertaken during the financial year, the Fund's existing portfolio performed robustly and delivered income in line with, and in certain areas exceeding, expectations.

The key highlight of the year was the Fund's fixed-income investment portfolio, which generated an investment-level return of 34.78%, significantly exceeding the Fund's internal investment objective and benchmark of 20%. This exceptional performance reflects the effectiveness of the Fund's disciplined credit assessment, structured investment approach, and emphasis on capital protection while capturing attractive yields.

Overall, the Fund's 2025 performance demonstrated the strength and resilience of its investment strategy. The ability of the existing portfolio—particularly the fixed-income securities—to outperform benchmarks and generate reliable income without additional capital deployment reinforces the sustainability of the Fund's return profile and its long-term value creation objective.

Distribution of Income

Ringgit Malaysia

An income distribution of RM0.06 per unit (equivalent to a 6% ROI) was made on 30 June 2025, followed by RM0.07 per unit (7% ROI) on 31 December 2025. This amounts to a total distribution of RM0.13 per unit, reflecting a 13% ROI for the year 2025.

Foreign Currency

An income distribution of 0.05 per unit (equivalent to a 5% ROI) was made on 30 June 2025, followed by 0.06 per unit (6% ROI) on 31 December 2025. This amounts to a total distribution of 0.11 per unit, reflecting a 11% ROI for the year 2025.

Fund Management Charge

A fund management charge of 2.00% is levied on the fund.

Portfolio Composition by Category of Investments

	FY2023	FY2024	FY2025
LAS CAPITAL PRIVATE EQUITY FUND			
Investment:			
Unquoted Equities	-	15.37%	12.99%
Fixed Income Equities	-	52.47%	48.22%
Listed Equities	-	32.16%	38.79%

Portfolio Highlight by Category of Investments

Fixed Income Equities

This category remains the primary driver of the fund's performance, generating the highest level of income for the current fiscal year. The portfolio within this segment is anchored by two key holdings:

- **FS Plus Limited:** Delivered a robust annual return of **RM0.36 per unit** of investment.
- **HAAS Asia Sdn Bhd:** Contributed a steady annual return of **RM0.24 per unit**.

Overall, this category achieved an average annual return of **34.78%** on deployed capital, underscoring its role as the fund's core performance engine.

Listed Equities

While our primary focus remains on fixed-income structures, we maintain the flexibility to capitalize on listed opportunities that align with our long-term objectives.

- **Art Group Holding:** After a high-performance year in 2024 (generating **RM1.17 per unit**), the investment maintained a positive position of **4% in 2025**. We maintain a constructive outlook on this holding and anticipate positive growth prospects heading into 2026.

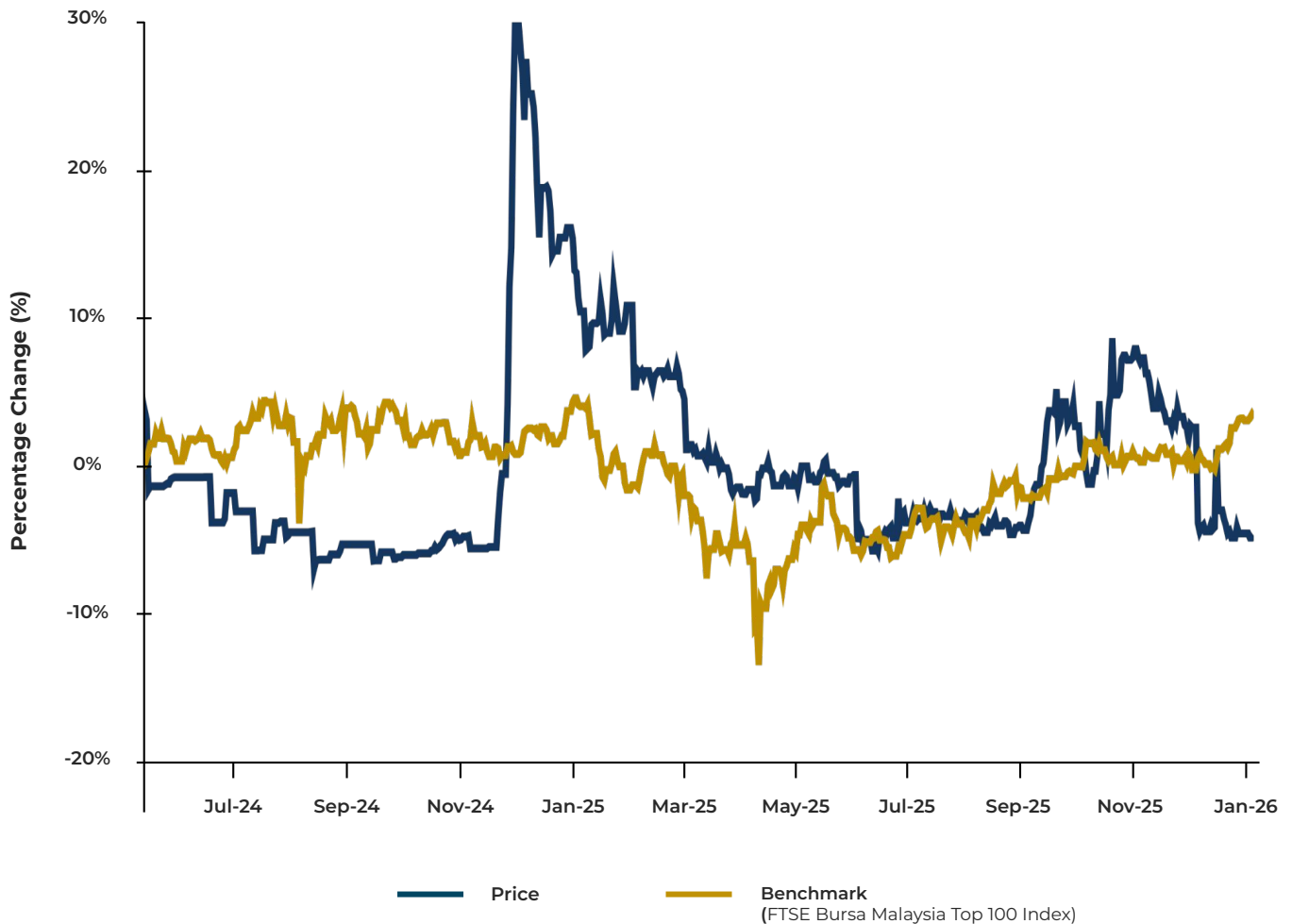
Unquoted Equities

Our investment in **LAS Plantation** is currently in the development phase and did not generate income during FY2025. However, following recent on-site monitoring and progress reviews, we are satisfied with the plantation's development. We expect this investment to transition into the income-generating phase by **2026**.

Equity Portfolio Composition by Sector

	FY2023	FY2024	FY2025
LAS CAPITAL PRIVATE EQUITY FUND			
Financial Services	0.00%	49.02%	43.34%
Plantation	0.00%	14.71%	13.00%
Property	0.00%	30.75%	38.79%
Technology	0.00%	5.52%	4.88%

Performance of Las Capital Private Equity Fund Against Benchmark Since Inception





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